

of your living expenses; some people like to be able to cover up to six months of expenses, and I've even met people who keep up to 12 months of living expenses. How many months you have saved up will depend on your risk tolerance and what kind of work you do. For example, freelancers may save up more due to the nature of their job, while a doctor or nurse may not be too concerned about job shortages. It's important to have a savings account for emergencies only.

You can decide what emergencies mean for you (in addition to the obvious, such as sickness or loss of employment). For me it's things like:

- dental work
- private healthcare costs
- car breakdowns
- insurance excess on something stolen.

For me it doesn't include things like:

- fines or parking tickets
- unexpected travel
- upgrading (flights, tickets, etc.) last minute.

Having an emergency fund has been life-changing for me. It's allowed me to have a level of peace in my life that I have not had before. It's a great way to make sure that I am always looked after and always have access to money. If I need to leave a situation that does not serve me, I don't have to rely on someone else to help me out.

I recommend opening up another bank account to keep this emergency fund in, preferably a high-yield savings account that you have easy access to. Some people ask if they should invest this money; the answer is no.

Investors in training understand this isn't money you're trying to make money off; it's money that you're keeping aside but can access instantly. When you invest this kind of money in the stock market, you need to wait for it to liquidate before you can use it, and in the short term this may fluctuate, thus not giving you the full amount of money you need. It's